

EG Hong Kong, United States QUICKTAKE: Core US restrictions will largely remain despite Hong Kong status reversal

送信者: EG China 受信日時: 2026-07-18 05:40

[【メール原文】](#)

Hong Kong, United States QuickTake

17 Jul 2026 16:38 EDT

Core US restrictions will largely remain despite Hong Kong status reversal

What happened:

On 17 July, the US opted not to renew an executive order (EO) dating from 2020 that eliminated Hong Kong's preferential treatment relative to Mainland China.

Our take:

The decision is symbolically important for stabilizing US-China ties. President Donald Trump had signed the EO in July 2020 following the imposition of Hong Kong's National Security Law, which curtailed the city's civil liberties. Its expiration, alongside China's Ministry of Commerce's (MOFCOM) rare expression of "praise" for the Trump administration in its statement, points to a willingness by the White House to pursue limited de-escalation on the Hong Kong issue, amid broader efforts to stabilize the bilateral relationship.

More broadly, the move confirms that Hong Kong is part of broader US-China trade and investment negotiations, with the Trump administration willing to trade away Hong Kong-related pressures. This is a major departure from bipartisan US policy of the past six years. According to Beijing, the US commitments on Hong Kong were made following the Madrid trade talks last September. The shift also indicates a further de-prioritization of Hong Kong's human rights concerns for the Trump administration, reframing the issue as a negotiable component of diplomacy with Beijing.

However, the EO's expiration does not reverse most core policy effects. The EO led to a series of agency-level measures promulgated over the years, treating Hong Kong the same as Mainland China across areas such as immigration, export controls, and extradition agreements. These measures remain in place and are not automatically rescinded.

The removal of sanctions on Hong Kong and mainland officials will likely be limited. Although the US Treasury Department has announced that individuals designated solely under the EO will be delisted, those sanctioned under separate statutory authorities—such as the Hong Kong Autonomy Act—will remain unaffected. As a result, any easing of sanctions will likely be restricted in practice, given that the

cohort of officials designated exclusively under the EO is relatively small. Furthermore, while Treasury can no longer issue new sanctions under this EO moving forward, there are other authorities that still enable additional sanctions designations through annual State Department assessments.

Watchpoint is whether the US rolls back existing implementation measures. Any such steps would more clearly indicate a shift toward the White House's accommodative stance. However, additional meaningful rollbacks are currently unlikely. Statutory sanctions are expected to remain in place given bipartisan support in Congress for Hong Kong-related human rights measures, while easing export controls would run counter to prevailing national security and technology competition priorities.

Less politically significant items such as the Fulbright exchange moratorium and visa restrictions could potentially be undone now through agency consultation. The extent to which measures are reversed would provide signposts on how far Trump wants to advance reconciliatory measures. Any rollback will likely be limited and highly targeted, depending on negotiations with Beijing.

EG China

china@eurasiagroup.net

Dominic Chiu

Senior Analyst, China & Northeast Asia

Chiu@eurasiagroup.net

David Meale

Practice Head, China

2025405135

Meale@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

Mingda Qiu

Senior Analyst, China & Northeast Asia

qiu.ne@eurasiagroup.net

Gerard DiPippo

Director, Global Macro

dipippo@eurasiagroup.net

PDF or Print | [Get the EG iOS or Android mobile Apps for content on the go](#)

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26884_a08bb58a

[To manage your email preferences click here](#) | [To manage your research content alerts click here](#)